NATIONAL COMPANY LAW TRIBUNAL

NEW DELHI BENCH (COURT- III)

C.P. (CAA) 31/ND/2020
IN
C.A. (CAA) 09/ND/2019

IN THE MATTER OF SCHEME OF AMALGAMATION:

AMONGST

ANURAG DEALCOM PRIVATE LIMITED

....TRANSFEROR COMPANY/ APPLICANT COMPANY NO. 1

AND

GANGADHAM AGENCIES PRIVATE LIMITED

....TRANSFEROR COMPANY/ APPLICANT COMPANY NO. 2

AND

LAVENDER SUPPLIERS PRIVATE LIMITED

....TRANSFEROR COMPANY/ APPLICANT COMPANY NO. 3

AND

SWARNSATHI DISTRIBUTORS PRIVATE LIMITED

....TRANSFEROR COMPANY/ APPLICANT COMPANY NO. 4

WITH

SIPS UTILITIES PRIVATE LIMITED

....TRANSFEREE COMPANY/ APPLICANT COMPANY NO. 5

ORDER DELIVERED ON: 09.05.23

In Section: 230 to 232 of the Companies Act, 2013

CORAM:

SH. BACHU VENKAT BALARAM DAS HON'BLE

MEMBER (JUDICIAL)

SH. ATUL CHATURVEDI

HON'BLE MEMBER (TECHNICAL)

PRESENT:

For the Applicant : Ms. Prachi Johri, Mr. Kartikeya Jaiswal, Advocates

For Income Tax : Mr. Sanjay Kumar

For RD : Ms. Shankari Mishra

FOR OL : Ms. HemlataRawat, Advocate

ORDER

PER: ATUL CHATURVEDI, MEMBER (T)

1. This Petition is preferred jointly by the Transferor Companies and Transferee Company under Section 230 to 232 of Companies Act, 2013 read with the Companies (Compromise, Arrangements and Amalgamations) Rules, 2016 for the purpose of the approval of the Scheme of Amalgamation (hereinafter referred to as 'Scheme' for brevity), as contemplated between the Companies, its Shareholders and Creditors. The copy of the Scheme has been placed on record. The details of the Companies proposed to be amalgamated, as placed on record, are given in the following paragraphs.

2. AnuragDealcom Private Limited bearing Corporate Identity Number (CIN) U51909DL2009PTC307375 and Permanent Account Number (PAN) AAICA5070D. (hereinafter referred to as "The Transferor Company No. 1') was incorporated under the provisions of the Companies Act, 1956 on 11th August, 2009 as a Private Limited Company in the Kolkata with the Registrar of Companies, Kolkata under the name and style of "Anurag Dealcom Private Limited". thereafter, the registered office of the Transferor Company was changed from Kolkata to Delhi vide Certificate of Registration dated 20th October, 2016 issued by Registrar of Companies, National

Capital Territory (NCT) of Delhi and Haryana. Presently, the registered office of the Transferor Company is situated at Flat No. 43, SFS Palam Marg, Basant Enclave OPP.77, New Delhi, South Delhi -110057.

3. Gangadham Agencies Private Limited bearing CorporateIdentity Number (CIN) U51909DL2011PTC307421 and Permanent Account Number (PAN AAECG3514G (hereinafter referred to as "The Transferor Company No. 2") was incorporated under the provisions of the Companies Act, 1956 on 4th August, 2011 as a Private Limited Company in the state of Kolkata with the Registrar of Companies, Kolkata. Thereafter, the registered office of the Transferor Company was changed from Kolkata to Delhi vide Certificate of Registration dated 21 October, 2016 issued by Registrar of Companies, National Capital Territory (NCT) of Delhi and Haryana. Presently, the registered office of the Transferor Company is situated at Flat No. 43, SFS Palam Marg, Vasant Enclave OPP.77, New Delhi, South Delhi - 110057.

4. Lavender Suppliers Private Limited bearing Corporate Identity Number (CIN) U51909DL2010PTC307422 and Permanent Account Number (PAN) AABCL7230K (hereinafter referred to as "the Transferor Company No. 3") was incorporated under the provisions of the Companies Act, 1956 on 5th February, 2010 as a Private Limited Company in the state of Kolkata with the Registrar of Companies, Kolkata. Thereafter, the registered office of the Transferor Company was changed from Kolkata to Delhi vide Certificate of Registration dated 21st October, 2016 issued by Registrar of Companies, National Capital Territory (NCT) of Delhi and Haryana. Presently, the

registered office of the Transferor Company is situated at Flat No. 43, SFS Palam Marg, Basant Enclave OPP.77, New Delhi, South Delhi -110057.

5. Swarnsathi Distributors Private Limited Bearing (CIN) Corporate Identity Number U51909DL2011PTC307423 and Permanent Account Number (PAN) AAQCS2174N (hereinafter referred to as "the Transferor Company No. 4") was incorporated under the provisions of the Companies Act, 1956 on 3rd August, 2011 as a Private Limited Company in the state of Kolkata with the Registrar of Companies, Kolkata. Thereafter, the registered office of the Transferor Company was changed from Kolkata to Delhi vide Certificate of Registration dated 21st October 2016 issued by Registrar of Companies, National Capital Territory (NCT) of Delhi and Haryana. Presently, the registered office of the Transferor Company is situated at Flat No. 43, SFS Palam Marg, Basant Enclave OPP.77, New Delhi, South Delhi -110057.

6. That SIPS POWER DISTRIBUTION PRIVATE LIMITED (earlierknown as Primeline Sales Private Limited) bearing CorporateI dentity Number(CIN)U40106DL2012PTC231017 and Permanent Account Number (PAN) AARCS010N (hereinafter referred to as "the Transferee Company") was incorporated under the provisions of the Companies Act, 1956 on 3rd February, 2012 as a Private Limited Company in the state of Delhi with the Registrar of Companies, Delhi and Haryana. That the registered office of the Transferor Company is situated at 16-A, 2nd Floor, Najafgarh Road Shivaji Marg Moti Nagar, 110015.

7. The present Petition has been filed by Transferor Companies and Transferee Company Jointly. Since the Registered offices of all the Petitioner Companies is situated in Delhi, the jurisdiction lies with this Bench.

8. From the records, it is seen that the First Motion petition was filed by the Applicant Companies for seeking directions for dispensing with the meeting of Equity Shareholders, and Unsecured Creditors of the Applicant Companies. This Tribunal, in the First Motion Application bearing No. CA (CAA) No. 09 (ND) 2019, vide Order dated 13.01.2020 dispensed the meeting of Equity shareholders, and Unsecured Company of all the Applicant companies. There are no secured creditors in all the five companies.

9.Subsequent to the order of dispensation of meetings in relation to the Transferor Companies, the Second Motion petition was moved by the Petitioner Companies in connection with the Scheme of Amalgamation for issuance of notices to the Central Government, Registrar of Companies NCT of Delhi & Haryana, Regional Director (Northern Region) MCA, Income Tax Authorities, Official Liquidator, Reserve Bank of India and other sectoral regulators who shall be affected by the proposed Scheme and to such other Objectors, if any, and also for publication of notice in respect of the said Scheme. The said petition was admitted and directions were issued, by this Tribunal requiring the Petitioner Companies to serve notices to the Central Government, Registrar of Companies NCT of Delhi & Haryana, Regional Director (Northern Region) MCA, Income Tax Authorities, Official Liquidator and other sectoral regulators likely to be affected by the said proposed

Scheme and also to carry out necessary publication in English and Hindi newspapers with respect to the said Scheme.

10. It is submitted by the Petitioners that in compliance of the above stated directions, the Petitioners duly filed an Affidavit of Service by confirming that the aforesaid Notices of the present Company Petition were published in Business Standard (English) and (Hindi) newspapers Delhi edition. It is further submitted that the Petitioner Companies also served the Notices of the present company Petition to all the statutory authorities.

11. The Income Tax Department vide it's report dated 31.07.2020 submitted to this Tribunal stating therein that they have no objection with respect to the present Scheme of arrangement.

12. The Regional Director vide his report dated 03.03.2021 has not objected to the proposed scheme but has made certain observations. The petitioner companies had filed reply dated 28.03.2023 in response to the observations made by the Regional Director, under wherein the petitioner companies provided the required clarification with respect to the observations made by the Regional Director. The details are given below:

Observations of Regional Director	**Reply of the Petitioner Companies**

1. Refer to clause 12 of the scheme, the Transferee Company may kindly be directed to comply with the provision of section 232(3)(1) of the Companies Act, 2013 in regard to fee payable on its revised authorized share capital.	1. It is submitted that this compliance has already been undertaken by the Transferee Company and that the same has been informed to the ROC. It is pertinent to note that during the hearing on 20.03.2023, the ROC's counsel had also made a statement that the Transferee Company had already complied with the aforesaid provision.
2. As per record available, the Ministry of Corporate Affairs vide letter dated 17.08.2017 has ordered Technical Scrutiny of books of accounts of Transferor Company no-2 & 4 under the provisions of section 206(1) of the Companies Act, 2013 which are under process. Hence, till the finalization of Technical Scrutiny of books of accounts of Transferor Company No-2 & 4, the Hon'ble Tribunal is requested to not to	2.The ROC's primary objection against the sanction of the Scheme pertains to the pending technical scrutiny against the books of Transferor Company No. 2 and 4. It has been contended that until the pendency of the technical scrutiny, the Scheme ought not to be approved by this Hon'ble Tribunal. It is pertinent to note that technical scrutiny against the Transferor Company No. 2 and No. 4 were initiated by notices dated

sanction the proposed scheme of amalgamation.	14.11.2017. By such notices, the ROC sought certain information from the companies. Upon receiving the notices and have tendered their reply (and all requested information) on 29.01.2018
3. Refer to clause 14 of the petition, the name of Transferee company is shown as "SIPS Power Distribution Private Limited" which is incorrect. The correct name of Transferee Company is as "SIPS Unlities Private limited". Hence, the petitioner companies may kindly be directed to clarify and amend the	3. It is submitted that, it is a Typographical error in the Application qua Transferee Company's name. Name of the Transferee Company at Clause 14 of the Application for Amalgamation as filed by the Applicant Companies. It is submitted that such error is bona fide error and

petition accordingly.	that such a miniscule error ought not to be the basis for non-approval of the Scheme. In light of the aforesaid submissions, it is submitted that none of the observation raised by ROC hold water.

13. The Official Liquidator vide it's report dated 08.04.2022 submitted to this Tribunal stating therein that they have no objection with respect to the present Scheme of arrangement.

14. In view of the foregoing facts and discussion and upon considering the approval accorded by the Members and Creditors of all the Companies to the proposed Scheme and also in the view of the fact that no sustainable objections have been raised by the Office of the Regional Director, Income Tax Department or any other interested party, there does not appear to be any impediment in granting sanction to the Scheme proposed for amalgamation.

15. Accordingly, in sequel to the above facts and circumstances, sanction is hereby granted to the Scheme of Amalgamation proposed by the Applicant Company under Section 230 to 232 of the Companies Act, 2013.

16. The sanctioned Scheme of Amalgamation shall be binding on the Transferor Companies and Transferee Company and their Shareholders and

Creditors. The Petitioner Companies shall remain bound to comply with the statutory requirements in accordance with law.

17. Notwithstanding the above, if at any stage any deficiency is found or violation committed qua any enactment, statutory rule or regulation is found to be committed, the sanction granted by this Tribunal to the Scheme will not come in the way of action to be taken, albeit, in accordance with law, against the concerned persons, Directors and Officials of the Applicant Company.

18. While approving the Scheme as above, it is clarified that this Order should not be construed as an order in any way granting exemption from payment of Stamp Duty, Taxes or other statutory dues, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement, which may be specifically required under any law will be made. Further the approval of the Scheme would in no manner affect the tax treatment of the transactions under the Income Tax Act, 1961 or serve as any exemption or defense for the Applicant Companies against tax treatment in accordance with the provisions of Income Tax Act, 1961.

19. This tribunal further directs with respect to Transferor companies and Transferee company, that:

(i) Upon the sanction becoming effective from the appointed date of amalgamation and arrangement i.e., coming into effect of this scheme or effectiveness of this scheme taking affect shall mean the effective

date, the Transferor Companies shall stand dissolved without undergoing the process of winding up.

(ii) All benefits, entitlements, incentives and concessions under incentive schemes and policies that the Transferor Companies are entitled to including under Customs, Excise, Service Tax, VAT, Sales Tax, GST and Entry Tax and Income Tax laws, subsidy receivables from Government, grant from any governmental authorities, direct tax benefit/exemptions/deductions, shall, to the extent statutorily available and along with associated obligations, stand transferred to and be available to the Transferee Company as if the Transferee Company was originally entitled to all such benefits, entitlements, incentives and concessions;

(iii) All contracts of the Transferor Companies, which are subsisting or having effect immediately before the Effective Date, shall stand transferred to and vested in the Transferee Company and be in full force and effect in favour of the Transferee Company and may be enforced by or against it as fully and effectually as if, instead of the Transferor Companies, the Transferee Company had been a party or beneficiary or obliged thereto;

(iv) All the employees of the Transferor Companies shall be deemed to have become the employees and the staff of the Transferee Company with effect from the Appointed Date, and shall stand transferred to the Transferee Company without any interruption of service and on the terms and conditions no less favourable than those on which they are

engaged by the Transferor Companies, as on the Effective Date, including in relation to the level of remuneration and contractual and statutory benefits, incentive plans, terminal benefits, gratuity plans, provident plans and any other retirement benefits;

(v) All liabilities of the Transferor Companies shall, pursuant to the provisions of section 232(4) and other applicable provisions of the Companies Act, 2013, to the extent they are outstanding as on the Effective Date, without any further act, instrument or deed stand transferred to and be deemed to be the debts, liabilities, contingent liabilities, duties and obligations etc. as the case may be, of the Transferee Company and shall be exercised by or against the Transferee Company, as if it had incurred such liabilities.

(vi)All proceedings now pending by or against the Transferor Companies be continued by or against the Transferee Company.

(vii) Any person interested or effected shall be at liberty to apply to this Tribunal in the above matter for any directions that may be necessary.

20. Further, the petitioner companies shall within thirty days of the date of the receipt of this Order, cause a Certified Copy of this Order to be delivered to the Registrar of Companies for registration and on such Certified Copy being so delivered, the Transferor Companies shall be dissolved and the

Registrar of Companies shall place all documents relating to the Transferor Companies on the file kept by him in relation to the Transferee Company and the files relating to all the Petitioner Companies shall be consolidated accordingly.

21. The Company Petition bearing ***(CAA) 31 (ND)/2020*** is allowed in the above terms.

SD/- **SD/-**

ATUL CHATURVEDI **BACHU VENKAT BALARAM DAS**

MEMBER (T) **MEMBER (J)**